SAMSUNG ELECTRONICS CO., LTD.

KRX: 005930 (preferred 005935) | Memory, foundry, phones, TVs, displays, Harman | Suwon, Korea

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

LONG	**Target price:** KRW 270,000	**Last price:** KRW 229,000 (common, KRX close, 2 November 2026)	**Upside:** +18%

Samsung Electronics is a memory company with a phone maker attached, and its price assumes the memory cash never leaves the group.

Samsung makes memory, phones, TVs, displays and chips for others, but its chip division earned 98% of operating profit in the first nine months of 2026, almost all of it from memory. HBM, the memory stacked beside AI chips, is about 6% of 2026 memory sales on my estimates. Samsung's real AI difference is the base die: it is the only HBM maker that builds that logic chip in its own foundry.

At KRW 229,000 the common shares trade at 3.0 times 2027 consensus. On my sum of the parts the market value needs normal memory earnings worth only a 3.5% net margin before any discount, and 15.2% after my 20% conglomerate discount, against my base of 30%. If the cash also stays in the group and earns nothing, it needs 31.9%.

My call: LONG, low conviction, target KRW 270,000. My base value is KRW 278,700, up 22%. The bear case is KRW 156,200 (down 32%) and the bull case KRW 450,200 (up 97%). The preferred shares carry the same dividend at a 22.7% discount.

Stock data
LAST PRICE **Common KRW 229,000, preferred KRW 177,000 (22.7% below), KRX closes 2 November 2026; common 52-week range KRW 94,500 to 374,500 (intraday)**
MARKET VALUE **About KRW 1,450tn on 5,710m common and 802m preferred shares; US$1,080bn at KRW 1,341.70 per US$**
NET CASH, 30 SEP 2026 **KRW 197.6tn; about KRW 165tn after the declared Q3 dividend and October buybacks**
P/E (COMMON) **5.1x my 2026; 3.0x 2027 consensus; 3.3x my 2027**
CONSENSUS (STOCKANALYSIS.COM) **EPS KRW 46,174 2026, about KRW 75,630 2027; average target KRW 480,103**
Q3 2026 (29 OCT) **Revenue KRW 195.3tn; operating profit KRW 107.4tn, of which chips KRW 106.5tn; memory sales KRW 140.7tn**
HBM **Not disclosed; my estimate about 6% of 2026 memory sales. 2027 supply sold out (call)**
NEXT RESULTS **Q4 2026, expected late January 2027 with preliminary figures in early January (not yet confirmed)**

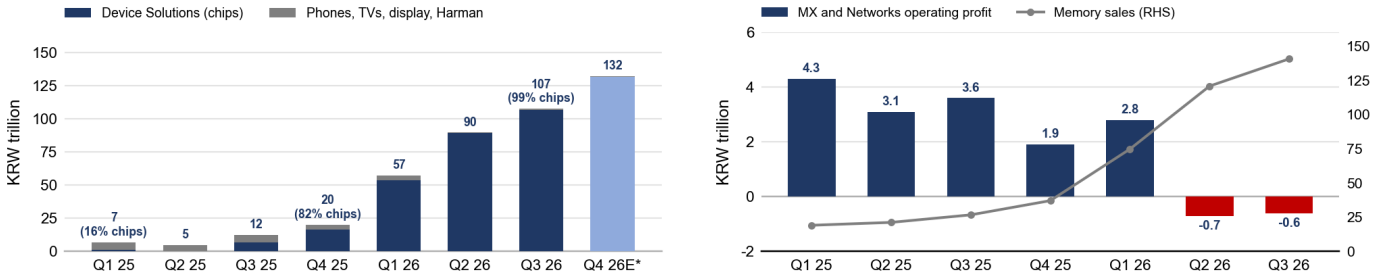
Key financials (KRW trillion unless stated; calendar years)

KRW trillion unless stated	2024A	2025A	2026E*	2027E*	2028E*	Normal*
Revenue	300.9	333.6	720.8	967.0	903.0	
Memory sales	84.5	104.1	506.3	760.0	684.0	295.8
HBM (my estimate)		9.6	31.6	32.4		
Operating profit	32.7	43.6	386.1	585.8	478.9	
of which chips (DS)	15.1	24.9	380.8	578.6	467.1	
Operating margin (%)	10.9%	13.1%	53.6%	60.6%	53.0%	
Memory net margin (%)				57.8%	51.7%	30.0%
EPS (KRW)	4,950	6,603	44,834	68,368	55,894	

Consensus EPS (KRW)			46,174	75,630		
P/E at KRW 229,000 (x)	46.3	34.7	5.1	3.3	4.1	

**2026E is reported profit for the first nine months plus my fourth quarter; 2027E, 2028E and the normal year are my own estimates on operations only, taxed at 24%. EPS for my periods is on 6,512m economic shares (common and preferred, which earn near-identical EPS). HBM revenue is not disclosed; the HBM line is mine. History from Samsung's earnings call decks; consensus from stockanalysis.com (S&P Global), retrieved 2 November 2026.*

Two charts: the chips are the company, and the phones pay for the memory



Left: operating profit by quarter, Device Solutions against the rest of the group, from Samsung's earnings call decks; Q4 2026 is my estimate. Right: MX and Networks operating profit against memory sales; the phone division lost money in the second and third quarters of 2026, which Samsung put down to component and cost pressures.

The thesis: paid twice for the shortage, charged once

Go back to the kitchen from the October piece. The chef is the AI chip and the hatch is the memory feeding it. Samsung stocks the pantry, builds hatches, and also runs a restaurant chain that buys its own flour. This year flour became the scarce part: the pantry earns a fortune, the restaurants pay more for every loaf, and the hatch, sold a year ahead, is a small line in the books.

The pantry is the company. Third quarter revenue was KRW 195.3tn, up 127% on a year earlier, and operating profit KRW 107.4tn, a 55% margin. Memory sales were KRW 140.7tn, and the chip division earned KRW 106.5tn. DRAM bits rose by a low to mid single digit percentage on the quarter and DRAM prices by about 20%; NAND prices rose by a high teens percentage. Samsung guides fourth quarter DRAM bits up by a mid to high teens percentage.

The restaurants pay for the flour. MX and Networks lost KRW 0.6tn in the third quarter on KRW 37.7tn of sales, its second loss in a row, and Samsung expects high raw material prices to persist into 2027. Against a year earlier the consumer businesses lost about KRW 4tn of quarterly profit while the chip division gained about KRW 100tn. The hedge is small.

HBM is a small slice. Samsung said in February that HBM sales would more than triple in 2026; HBM4 sales rose more than threefold on the quarter in the third quarter, to 60% of HBM sales, and its 2027 HBM supply is already sold out, at prices agreed with customers. It began volume HBM4 sales for Nvidia's Vera Rubin in the first quarter. On my estimate HBM was about KRW 9.6tn in 2025 and KRW 32tn in 2026, 6% of memory sales.

My notes do not fully agree. IDC, as quoted in SK Hynix's US prospectus, put HBM shares in 2025 at 63.2% for SK Hynix, 19.3% for Samsung and 17.4% for Micron, and in the first quarter of 2026 at 56.4%, 20.5% and 23.1%. From IDC's 2025 share, Samsung's tripling implies about 44% of a US$49bn market in 2026, the path in my Micron note. My SK Hynix note gives SK Hynix 55% of that 2026 market and my Micron note implies about a fifth for Micron, which sum to more than the whole. Samsung also says its third quarter 2026 HBM share matched its DRAM share. Either the 2026 market is larger than US$49bn, or SK Hynix's share falls faster than my SK Hynix note assumes. No maker discloses HBM revenue; on any of these, HBM is a small part of Samsung's money.

The base die is Samsung's real difference. Samsung builds its HBM4 base die on a 4 nanometre process in its own foundry, which credited improving results to base die demand in the second quarter and base die sales growth in the third. SK Hynix said in April 2024 it would use TSMC's logic process for HBM4's base die. Micron makes its HBM4 base die in house, but said on 23 September 2025 that it is partnering with TSMC to make its HBM4E base die. From HBM4E, Samsung is the only one of the three that keeps the whole stack under one roof.

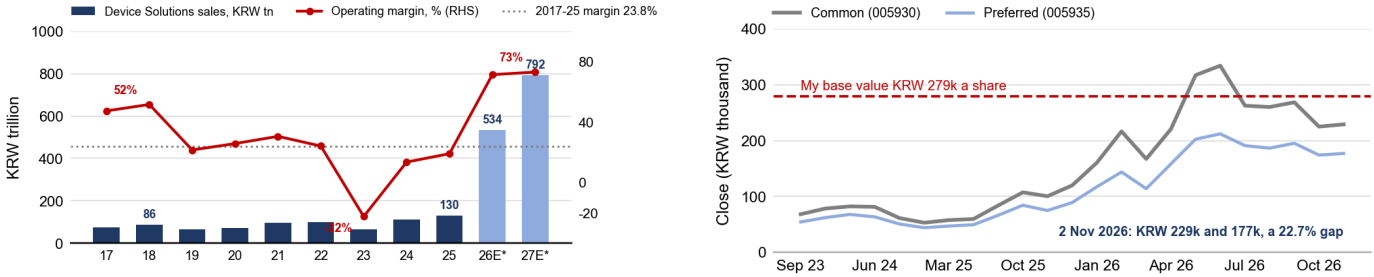
Micron says so in its own words. In Micron's prepared remarks for its call of 23 September 2025, Sanjay Mehrotra said: "We are partnering with TSMC for manufacturing the HBM4E base logic die", for standard and custom products alike. It supports the piece's point that the base die moves to logic foundries, and sharpens Samsung's difference.

Custom HBM cuts both ways. While the maker designs the base die, one roof is an edge. When the buyer designs it, as Nvidia's NVHBM does, the buyer has a say in where it is made, and Nvidia's chips are made at TSMC; that is my reading, not

anything Samsung or Nvidia has said. Samsung said in February that "custom HBM samples will start reaching customers in 2027", and plans HBM4E mass production in the first half of 2027. So Samsung is unlikely to report custom HBM in volume by the end of 2027, and the piece's claim now rests mainly on SK Hynix and Micron.

Variant perception: what the market prices in, and where I differ

At KRW 229,000 for the common and KRW 177,000 for the preferred, Samsung is worth about KRW 1,450tn. I count about 5,710m common shares (5,846.3m issued at 30 June, from the half-year report, less 136.7m in treasury, from the buyback report of 12 October) and 802m preferred, none in treasury. The common trades at 3.0 times 2027 consensus, against 2.8 times for SK Hynix and 5.0 times for Micron's fiscal 2027, and is 37% below its June high. As in my other memory notes, peak earnings are not a stream to capitalise: the chip division lost KRW 14.9tn in 2023 and earned a 23.8% operating margin over 2017 to 2025.



Left: Device Solutions sales and operating margin, 2017 to 2025 from Samsung's fourth quarter decks (restated for chips only), 2026 and 2027 my estimates. Right: month-end closes of the common and preferred shares, September 2023 to 2 November 2026 (KRX closes via Naver Finance to August 2026 and stockanalysis.com since), against my base value.

What the price needs. Memory is valued with the method and normal cases of my Micron and SK Hynix notes: net cash at September 2027, plus memory earnings above normal still to come, plus 12 times normal memory earnings. The other businesses are added at modest multiples, and I take 20% off the whole. I expect net cash of about KRW 514tn by September 2027, KRW 78,900 a share, before distributions. With no discount the market value needs normal memory earnings of only KRW 10tn after tax, a 3.5% net margin on my normal memory sales. With my discount it needs 15.2%; with the discount and the cash spent for nothing, 31.9%, close to my base.

Where I differ. The discount is earned, but the market charges it twice. Samsung's 2026 plan returns a third to two fifths of my 2026 free cash flow, where SK Hynix has committed to at least half, and the Lee family controls Samsung through Samsung C&T and Samsung Life Insurance with a small direct stake. That justifies a discount, which I take. But Samsung now plans KRW 90 to 110tn of 2026 returns, KRW 55 to 75tn still to come, including "a substantial share repurchase and cancellation program", set at a board meeting in late January 2027.

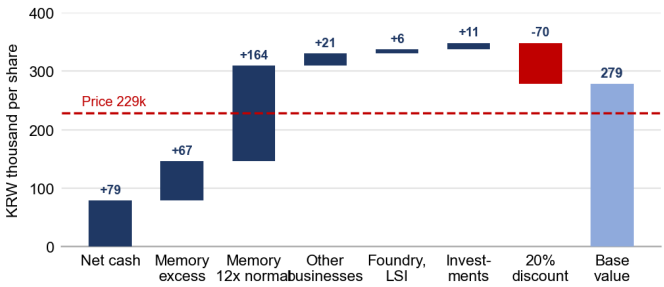
The preferred shares. Each preferred share received the same KRW 4,601 third quarter dividend and earned near the same EPS (KRW 11,492 against 11,462), but trades 22.7% below the common, against 16.9% at the end of 2024. Samsung says it will consider "adjusting the proportion of preferred shares" in its buybacks. My value per share applies to both classes; the preferred lacks only the vote, and sits up 57% from it.

Valuation, with the working

I value operations, because reported profit swings with finance items: a KRW 9.5tn finance loss in the third quarter, and about KRW 10tn of operating profit lost to the stronger won. 2026 adds a fourth quarter of KRW 170tn of memory sales at a 74% chip margin: revenue KRW 720.8tn (consensus 722.3), EPS KRW 44,800, 2.9% below consensus. 2027 memory sales are KRW 760tn at 76%: revenue KRW 967tn, 4.1% below consensus, EPS KRW 68,400, 9.6% below. 2028 memory sales fall 10% at 68%. Free cash flow is about KRW 77tn in the fourth quarter and KRW 362tn in 2027 after KRW 110tn of capital spending (2026 plan KRW 84.4tn, 76.8tn for chips). Normal memory sales take the four quarters to June 2026, KRW 259.4tn, grow bits 20% a year for four years at 55% of the price per bit: KRW 295.8tn, at 30% net, KRW 88.8tn.

Sum of the parts at October 2027

Part	Basis (my estimates)	KRW tn	Per share
Net cash, Sep 2027	Sep 2026 less Q3 dividend and Oct buybacks, plus FCF	514	78,900
Memory above normal	1/4 of 2027 excess, 2028, half of 2028 again; 10%	438	67,200
Memory, normal	12x KRW 88.8tn	1065	163,600
Phones (MX, Networks)	10x after-tax on KRW 12tn	91	14,000
Display, TVs and appliances, Harman	8x, 8x, 12x after tax	47	7,100
Foundry and System LSI	1.5x 2026 sales	41	6,300
Investments	KRW 97.2tn book at 75%	73	11,200
Gross		2,269	348,400
Less 20% discount	Conglomerate and governance	-454	-69,700
Base value	**6,512m economic shares**	**1,815**	**278,700**



Scenarios: three cases, twelve months out

Case	What happens	2027 EPS, KRW	Normal memory, KRW tn	Normal P/E	Value, KRW	Change	Weight
Bear	Prices turn in 2027; 2028 memory sales fall 35%; normal margin 19%	53,700	40.9	10x	156,200	down 32%	25%
Base	Tight through 2028, half the excess in 2029; normal margin 30%	68,400	88.8	12x	278,700	up 22%	50%
Bull	2027 near consensus; shortage lasts to 2029; normal margin 40%	79,400	150.6	14x	450,200	up 97%	25%
Weighted	**25 / 50 / 25**				**about 290,900**	**up 27%**	

2027 memory sales: bear KRW 645tn at 70%; base 760 at 76%; bull 840 at 80%. Normal memory sales: bear KRW 215tn, base 296, bull 377. The normal cases are those of my Micron and SK Hynix notes; the other businesses and the 20% discount are the same in all three. The band: long when my base value is at least 15% above the price, short when at least 25% below.

Sensitivity: normal memory net margin against the multiple on normal earnings

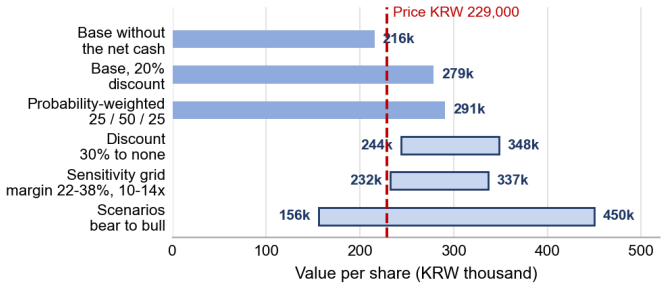
Normal net margin (value, KRW)	10x	12x	14x
22%	232,400	248,400	264,400
30%	256,900	**278,700**	300,500
38%	281,400	309,000	336,600

All nine cells sit above the price, but the lowest, KRW 232,400, only by 1.5%. The grid holds the discount at 20%. The discount matters as much: at 10% the base is KRW 313,500, at none KRW 348,400, and at 30% KRW 243,900. Take the cash away and the base falls to KRW 215,500, down 6%. Every figure is live in the model.

Peer landscape and valuation cross-check

Company	P/E on consensus	Year
Samsung Electronics (common)	3.0x	CY2027
SK Hynix	2.8x	CY2027
Micron	5.0x	FY to Aug 2027

Price over consensus EPS for the year ending in 2027, stockanalysis.com (S&P Global), retrieved 2 November 2026. Prices: Seoul closes of 2 November, Micron's Nasdaq close of 30 October. Micron's year ends in August. Samsung is the only one of the three with phones, TVs, displays and a foundry inside. Multiples only; no view on the peers' shares.



Catalysts

When	Event	What I watch
27 November 2026	Q3 dividend paid (KRW 4,601 a share)	Treasury share purchases and cancellations into the year end
Early January 2027 (expected)	Q4 2026 preliminary results	Memory profit against my KRW 131tn chip operating profit
Late January 2027	Q4 results; board sets the 2026 return	Amount against KRW 90 to 110tn; preferred share of buybacks
First half 2027	HBM4E mass production	Any custom HBM customer or date; base die foundry
2027	Taylor fab and 2nm ramp	Foundry sales, and whether base dies stay in house

Risks: what would hurt the view

The cycle turns early. The chip division, almost all of it memory, earns nearly all the profit, and its prices have soared in a year. SK Hynix aims to double its wafer capacity in five years and Micron's new fabs start in 2027. If prices fall in 2027 my bear case applies, down 32%. **The cash stays in the group.** Samsung had planned or completed about KRW 35tn of 2026 returns by October, against nine months of free cash flow near KRW 186tn. If the January plan disappoints, my base falls below the price.

Custom HBM goes to the buyer's foundry. If NVHBM's base die is made at TSMC, Samsung's one roof matters less and its foundry loses the base die sales that lifted it this year. **The won.** A stronger won cost about KRW 10tn of third quarter operating profit against the second. **Phones.** A longer squeeze would cut the KRW 91tn I give MX, a small part of the value.

What would change my mind

Back to no call: a price above about KRW 242,500, where my base would sit less than 15% above it, with my numbers unchanged. **Towards the bull case:** a January return plan at the top of the range, weighted towards cancelled shares.

The view is wrong if, by October 2027, Samsung reports a quarter in which memory sales and DRAM prices both fall on the quarter before, which points to my bear case; or the 2026 shareholder return it finalises in late January 2027 comes in below KRW 90tn, the bottom of its own range, which says the cash I count stays inside the group.

Conclusion

My piece of 31 October argued that from HBM4E the biggest buyer designs the bottom of the memory stack. Samsung is the maker best placed to build such a stack under one roof, and the one least likely to ship it in volume by the end of 2027. The shares are a different question: HBM is about 6% of memory sales, and the rest is an ordinary memory boom inside a conglomerate. At 3.0 times consensus the price assumes the boom ends badly and the cash stays in the group. Base value KRW 278,700, up 22%, range KRW 156,200 to KRW 450,200. My call: LONG, low conviction, target KRW 270,000.

Appendix: forecast assumptions

Assumption	2026E	2027E	2028E	Basis
Memory sales, KRW tn	506.3	760	684	Nine months reported plus Q4 of 170; 2028 down 10%
Chip or memory operating margin	Q4 74%	76%	68%	Q3 2026 chip division 72%
Other businesses' operating profit	Q4 0.6	7.2	11.8	Phones squeezed in 2027; 2025 18.7
Tax rate		24%	24%	Q3 2026 23.8%; Q2 24.2%
Capex, KRW tn	84.4	110		2026 plan; industry capex to rise significantly in 2027
Normal margin, multiple, rate, discount			30%, 12x, 10%, 20%	As in my Micron and SK Hynix notes; discount mine

Full workings, with live formulas, in the accompanying model, 2026-11-02_SamsungElectronics_Model.xlsx.

Sources

Samsung Electronics earnings call decks for 1Q, 2Q and 3Q 2026 and for 4Q 2018, 2019, 2021, 2022, 2024 and 2025 (Samsung IR). Samsung 3Q 2026 earnings call, 29 October 2026 (transcript via Investing.com). Samsung filings to the London Stock Exchange of 31 March, 12 October and 29 October 2026 (share cancellation, buyback and treasury shares, third quarter dividend, 2026 capital spending plan); Samsung 2026 half-year business report, filed 31 August 2026 (shares issued). SK hynix prospectus (Form 424B4), 10 July 2026 (IDC HBM market shares). Samsung newsroom, 12 February 2026 (HBM4, base die, custom HBM, HBM sales). Micron prepared remarks of 23 September 2025; SK Hynix release of 19 April 2024; Nvidia NVHBM blog, 26 August 2026. stockanalysis.com (S&P Global) for 2021 to 2025 annual figures, consensus and peers, retrieved 2 November 2026. KRX closes via Naver Finance and stockanalysis.com and the Hana Bank KRW/USD notice rate via Naver, retrieved 2 November 2026. Estimates from the fourth quarter of 2026, HBM revenue, normal earnings, the other businesses, the discount and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 31 October 2026, thephysicallayer.fyi/journal/memory-not-maths; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Samsung Electronics. Personal research, not investment advice.

Tommy Lau | The Physical Layer | thephysicallayer.fyi